

EQUITY RESEARCH · COMPANY DEEP DIVE

Cisco Systems, Inc. (CSCO.US)

Technology · Communication Equipment

Large Cap (>\$200B) · Report Date: July 20, 2026

Latest financials: Q3 FY2025 · Model data as of 2026-07-20

BUY

Composite · Valuation: BUY

Target \$165.46 · +47.9% upside

Price \$111.87

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$165.46 (+47.9% vs \$111.87); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

| Pillar       | Rating / Signal | Key Metric                    | Wt  |
|--------------|-----------------|-------------------------------|-----|
| Valuation    | BUY             | Blended PT \$165.46           | 45% |
| FSA          | Strong          | Health +0.25 · Strong         | 20% |
| Technical    | BULLISH         | Bullish                       | 20% |
| Quantitative | POSITIVE        | Score +0.50 · 12m +68%        | 15% |
| Composite    | BUY             | Score +0.64 · 100% confluence | —   |

Valuation + technical aligned bullish; solid financial statement profile.

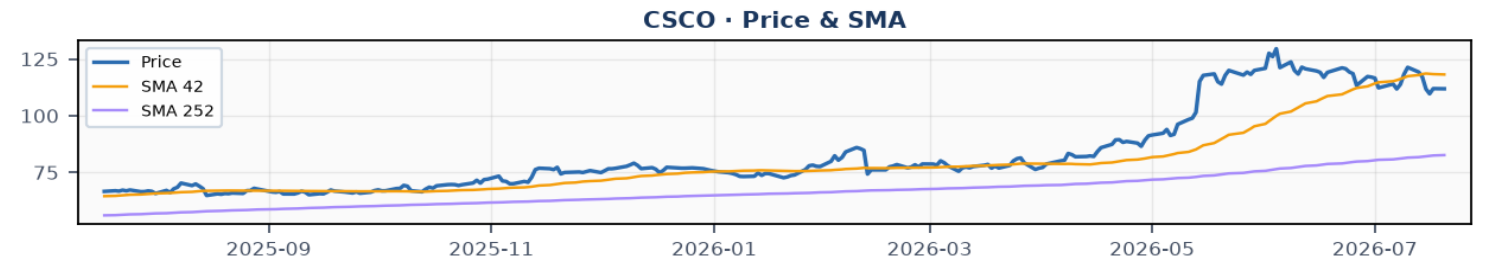
INVESTMENT THESIS / EXECUTIVE SUMMARY

Cisco Systems, Inc. (CSCO) — Technology. Cisco Systems, Inc. designs, develops, and sells technologies that help to power, secure, and draw insights from the internet in the Americas, Europe, the... **BUY** rating; blended target \$165.46. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

| Item          | Value              | Item         | Value    |
|---------------|--------------------|--------------|----------|
| Market Cap    | \$440.93B          | Shares Out.  | 3941.4M  |
| 52-Week Range | \$65.75 – \$130.37 | P/E (TTM)    | 37.3x    |
| P/B           | 9.0x               | Beta         | 1.01     |
| Avg Volume    | 25.30M             | Analyst Rec. | Buy      |
| Revenue (TTM) | \$60.75B           | Rev Growth   | +12.0%   |
| Op. Margin    | 25.0%              | FCF (TTM)    | \$13.29B |
| Gross Margin  | 64.3%              | ROE          | 25.2%    |
| EV/EBITDA     | 26.9x              | Debt/Equity  | 67.5%    |
| EPS (TTM)     | \$3.00             | Div Yield    | 1.5%     |

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

| Metric             | FY 2024A | FY 2025A | FY 2026E | FY 2027E | FY 2028E |
|--------------------|----------|----------|----------|----------|----------|
| Revenue (\$M)      | 53,803   | 56,654   | 63,452   | 69,258   | 74,214   |
| Revenue Growth (%) | N/A      | 5.3%     | 12.0%    | 9.1%     | 7.2%     |
| Net Income (\$M)   | 10,320   | 10,180   | 11,402   | 12,445   | 13,335   |
| Gross Margin (%)   | 64.7%    | 64.9%    | 64.3%    | 64.3%    | 64.3%    |
| Net Margin (%)     | 19.2%    | 18.0%    | 18.0%    | 18.0%    | 18.0%    |
| EPS (\$)           | 2.62     | 2.58     | 2.89     | 3.16     | 3.38     |
| P/E (x)            | 42.73    | 43.31    | 38.67    | 35.43    | 33.06    |

TECHNICAL & QUANTITATIVE ANALYSIS

| Metric             | Value    | Notes                                                             | Metric               | Value  | Notes      |
|--------------------|----------|-------------------------------------------------------------------|----------------------|--------|------------|
| SMA (42d)          | \$118.16 | Short-term trend                                                  | 12m Momentum         | +67.8% |            |
| SMA (252d)         | \$82.66  | Long-term trend                                                   | 3m Momentum          | +28.0% |            |
| RSI (14d)          | 41.7     | Momentum oscillator                                               | Ann. Volatility      | 25.3%  |            |
| Trend              | Bullish  |                                                                   | Sharpe Ratio         | 0.60   | Rf=4%      |
| Golden Cross (20d) | No       |                                                                   | Max Drawdown         | -36.7% |            |
| Death Cross (20d)  | No       |                                                                   | Rel. Strength vs SPY | +55.0% |            |
| TA Signal          | BULLISH  | Price above SMA42; SMA42 > SMA252; SMA42=\$118.16, SMA252=\$82.66 | Quant Score          | +0.50  | POSITIVE   |
|                    |          |                                                                   | SMA Backtest (ann.)  | 23.1%  | B&H; 30.0% |

VALUATION CROSS-CHECK

| Valuation Method  | Implied Price | vs. Current | Weight in     | Notes                                            |
|-------------------|---------------|-------------|---------------|--------------------------------------------------|
| DCF (FCFE)        | \$72.23       | -35.4%      | 0% (excluded) | DCF diverges >55% below comparable-implied value |
| Comps — Blended   | \$174.27      | +55.8%      | 80%           | Included in blend                                |
| Analyst consensus | \$130.23      | +16.4%      | 20%           | Included in blend                                |
| Blended target    | \$165.46      | +47.9%      | 100%          | Comps 80% + Analyst 20%                          |

DCF (FCFE) SUMMARY

| Ke    | Terminal g | FCFE growth | Equity value | Implied price | vs. Current |
|-------|------------|-------------|--------------|---------------|-------------|
| 9.54% | 4.00%      | 6.00%       | \$284.69B    | \$72.23       | -35.4%      |

PEER COMPARISON · INDUSTRY CONTEXT

| Ticker | Company                | Market Cap | P/E    | EV/EBITDA | Net Margin | Rev Growth |
|--------|------------------------|------------|--------|-----------|------------|------------|
| ANET   | Arista Networks, Inc.  | \$213.58B  | 58.1x  | 47.2x     | 38.3%      | +35.1%     |
| MSI    | Motorola Solutions, In | \$68.44B   | 33.3x  | 22.1x     | 17.6%      | +7.4%      |
| CIEN   | Ciena Corporation      | \$54.28B   | 127.8x | 67.9x     | 7.9%       | +39.5%     |
| CSCO*  | Cisco Systems, Inc.    | \$440.93B  | 37.3x  | 26.9x     | 19.7%      | +12.0%     |

\* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Moderate revenue expansion (12.0% YoY); Healthy operating margins (25.0%); Sector: Technology | Industry: Communication Equipment · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.